Thames Water restructuring case

Tobenna Agubuche | 27 October 2026 | Conditional liquidity and Class B terms

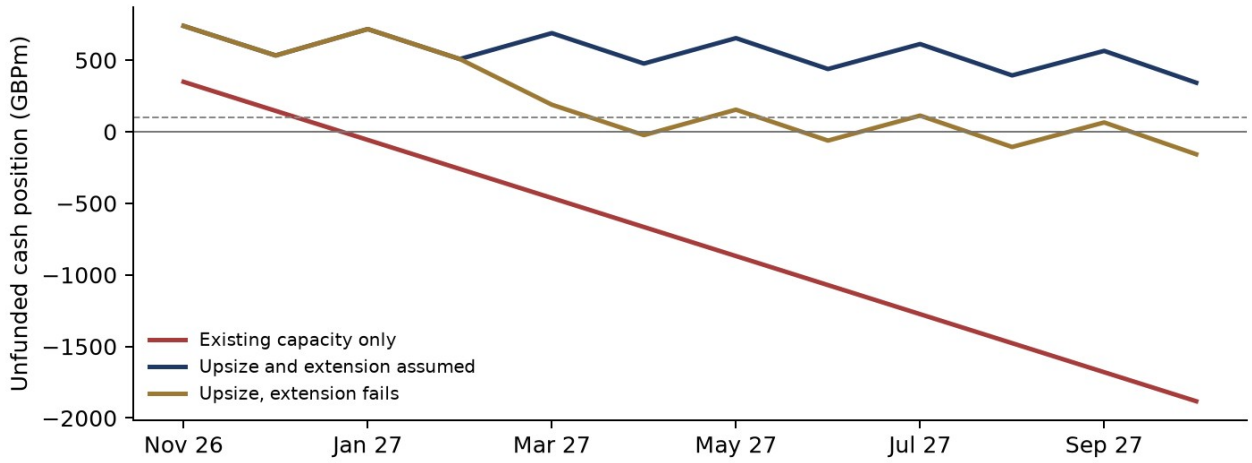
Reject an unconditional new-money commitment. The proposed GBP2.4bn liquidity upsize may buy time, but it does not complete RP2 or remove the March 2027 maturity problem. Under the stated cash and draw assumptions, approval of both funding and the maturity extension leaves GBP342.5m in October 2027. A failed extension creates a GBP257.5m gap to the model's cash buffer. Accessible cash, tranche commitments and final creditor claims need verification.

Proposed funding and maturity extension

On 15 October, Thames Water said GBP2.65bn of its GBP3bn super senior facility had been drawn and proposed another GBP2.4bn of capacity. Commitments would be sought in tranches and draws remain conditional. The consent vote is scheduled for 29 October. On 16 October, the company said RP2 might not be implemented before certain senior maturities and the stable platform period expire in March 2027. It intends a further interim extension. [1,2]

Test liquidity and maturities separately

Model scenario, Nov 2026 to Oct 2027	Minimum cash position	Gap to GBP100m buffer
Existing GBP350m undrawn capacity only	GBP-1,882.7m	GBP1,982.7m
Upsize and maturity extension assumed	GBP342.5m	Nil
Upsize assumed, GBP500m maturity not extended	GBP-157.5m	GBP257.5m
Upsize assumed, monthly use rises to GBP250m	GBP-257.5m	GBP357.5m



Opening accessible cash of GBP200m and monthly cash use of GBP200m are analyst assumptions, not reported current balances or company guidance. Six GBP400m upsize tranches are assumed every other month, starting in November. The model charges 2% fees on new upsize draws and 9.75% interest on all incremental borrowing, using a half-month draw convention. The existing facility's 9.75% coupon is a historical source fact, applied to new funding as an assumption. [3]

Monthly cash use includes capex and interest on opening debt, so only new-draw interest is added. The remaining GBP350m capacity is counted once across the issuer-to-TWUL funding chain. Negative positions are unfunded needs, not actual overdrafts. Historical FY26 cash outflow before other financing was GBP1,130.2m, or GBP94.2m per month; the model does not claim that is today's burn rate. [3]

Class B equity and new investment

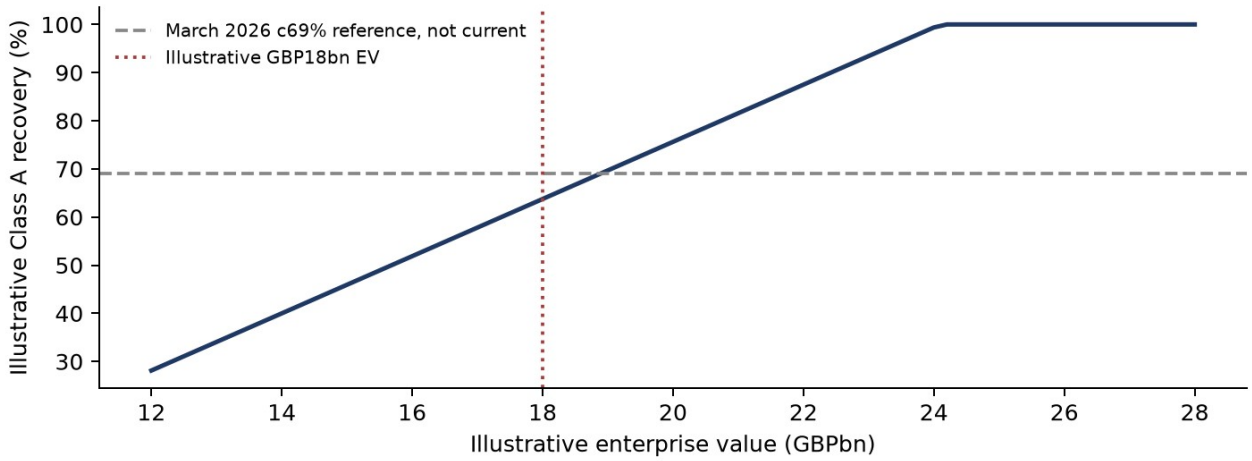
The proposed treatment writes off approximately GBP1bn of Class B debt. Holders receive an equity allocation intended to give approximately 5.9% recovery, a right to participate in GBP150m of new equity and 5.9% participation rights in certain other new tiers. The overall recapitalisation remains unagreed. [2]

Class B economics	Model result
Implied value of legacy equity recovery	GBP59.0m
Legacy ownership at assumed GBP6bn post-money equity	0.98%
Cash paid if GBP150m new equity right exercised	GBP150.0m
Net legacy plus new investment value at issue	GBP59.0m
Legacy recovery if equity value halves	2.95%
Net package value after new cash paid if equity halves	GBP-45.5m

The GBP150m investment is assumed made at fair value. It creates a GBP150m asset and requires GBP150m cash. It is not free additional recovery. The participation right itself, other new-tier rights and fees are not valued. A negative net package value in the stress reflects losses on voluntary new money; it is not a negative insolvency distribution.

Recovery depends on claims and value

An independent illustrative waterfall assumes GBP18bn enterprise value, 5% costs, GBP1.5bn priority hedge and other claims, GBP5.4bn super senior debt after all assumed draws and GBP16bn Class A claims. It gives Class A 63.75% recovery and Class B nil. The hypothetical Class A par break-even enterprise value is GBP24.11bn. These are scenario outputs, not an assessment of actual legal recoveries.



The report cites a c69% Class A trading reference for March 2026. Applied to the scenario claims, it corresponds to GBP18.88bn EV. This is a reverse sensitivity, not a current quote or a valuation inferred for March. The negotiated Class B equity consideration and this hypothetical enforcement waterfall are separate analyses. [3]

At the same GBP18bn EV, the existing-capacity-only case gives Class A 78.75%, versus 63.75% after the GBP2.4bn upsize. New super senior claims reduce recovery by 15 percentage points in this fixed-value test. It excludes any value created by deploying the new funding.

Evidence required before commitment

- Verify current accessible cash, burn, draw conditions and tranche commitments. Cash held at a financing issuer may require consent for downstream use.
- Obtain the maturity-by-instrument schedule, supported extension terms, complete Class A and hedge claims, and legal ranking. The GBP500m March principal stress is assumed.
- Confirm RP2 valuation, equity allocation, new-money terms, regulatory approvals, costs and special-administration alternatives. Neither RCV nor accounting net debt is used as a substitute for recoverable value or legal claims.

Sources: [1] TWUL, 15 Oct 2026, Sixteenth Consent Requests. [2] TWUL, 16 Oct 2026, Class B TSA update. [3] TWUL Group annual report 2025/26, p39 cash flow, pp108-109 maturities, p124 hedging priority and historic trading reference, pp139-140 debt. Full links and locators are in the workbook and README.